Oil prices are trading weaker this morning despite developments in the Middle East over the weekend. Strong Persian Gulf oil flows and the potential for a Russia-Ukraine energy ceasefire appear to be offsetting some of the latest geopolitical risk





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Energy – Middle distillate cracks trade lower on Trump diesel deal

After a weekend of escalation in the Middle East and the risk of the conflict broadening, one would think oil prices would be trading firmer this morning. However, this is not the case. ICE Brent has been down more than 2% at one stage this morning, despite the Houthis launching a deadly attack on an airport in Riyadh, Saudi Arabia. Clearly, if the target had been energy infrastructure, price action would look a bit different this morning. Still, events show that risks to supply from the region remain, despite oil flows from

the Persian Gulf being at their highest levels since the start of the US-Iran war.

It would appear that the move in oil today is probably less to do with developments in the Middle East and more to do with Russia. US President Donald Trump announced a deal with Russia over the weekend, which will see Russia export 300kt of diesel immediately, followed by 500kt in November and 1mt in December. This will also see the US temporarily easing sanctions on Russian diesel. However, these initial volumes are still some distance away from the roughly 3mt per month that Russia shipped in 2025, according to LSEG data. And so, while it is not going to solve the tightness in t
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elevated.

On the speculative side, managed money continues to trim its net long with ICE Brent trading above $100/bbl. Speculators sold 3,250 lots, leaving them with a net long of 201, 052 lots, which historically is somewhat of a neutral position in the market. From a risk/reward perspective, it is probably not great to put on too much risk from the long side with Brent trading over $100/bbl and the midterms approaching. There is always the very real risk of President Trump surprising markets.

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Agriculture — Bearish WASDE

In its latest monthly WASDE report, the USDA increased its 2026/27 US corn production forecast by 234m bushels to 16.03bn bushels, driven by higher yields. This resulted in US ending stock estimates increasing by 282m bushels to 1,849m bushels, well above the 1,694m bushels the market was expecting. The global balance also saw ending stock estimates for 2026/27 increase from 272.1mt to 280.4mt, leaving it also above market expectations of a little under 274mt. The corn numbers were clearly more bearish than expected, which saw CBOT corn settle more than 4% lower on Friday, taking it well below $5/bu.

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WASDE USDA Speculators Sanctions Russia-Ukraine Middle East Middle distillates Grains Diesel

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